Stocking Policy[28] of foodgrains, the minimum stocks on different dates is required to be mentioned given below:

Date	*Wheat*	*Rice*	*Total*
1st April	4.0	12.2	16.2
1st July	17.1	9.8	26.9
1st October	11.0	5.2	16.2
1st January	8.2	11.8	20.0

ECONOMIC COST OF FOODGRAINS

The economic cost of foodgrains consists of *three* components, namely the MSP (and bonus if applicable) as the price paid to the farmers, procurement incidentals, and the cost of distribution. The economic cost for both wheat and rice witnessed significant increase during the last few years due to increase in MSPs and proportionate increase in the incidentals between the period 2002-03 and 2010-11 per kg burden on wheat and rice has increased to Rs. 15 (from Rs. 9) and Rs. 20 (from Rs. 12), respectively[29].

DECENTRALISED PROCUREMENT SCHEME

The decentralised procurement scheme of the Government of India that is in operation since 1997 has evoked good response from the State Governments. Under this scheme, the designated States procure, store and also issue foodgrains under TPDS. The difference between the economic cost of the State Governments and the central issue price (CIP) is passed on to the State Governments as subsidy. The decentralised system of procurement, helps to cover more farmers under the MSP operations, improves efficiency of the PDS, provides varieties of foodgrains more suitable to local taste, and reduces the transportation costs of the FCI[30].